

Business Analytics Terminology

01 Foundational Concepts of analytics

1. Business Analytics

Is the process of using data to help a business make better decisions. It focuses on improving business performance and solving problems.

example: A shop studies customer buying habits to decide which products to sell the most.

2. Data Analytics

means collecting, cleaning and studying data in order to find useful information. It can be used in many fields, it is not only for business.

example: A hospital can study patient records in order to improve health care services.

3. Business Intelligence (BI)

It refers to tools and systems used to create reports, dashboards and summaries from data. It helps managers understand business performance.

example: A company uses Power BI to track monthly sales.

4. Data-Driven Decision Making

This one simply means making decisions based on facts and data instead of guesses or opinions.

example: A clothing store orders more winter jackets after seeing high sales data.

5. Big Data

Big data refers to very large amounts of data that grow quickly and come from many different sources.

example: Social Media platforms collect millions of posts, video and comments everyday

6. Descriptive Analytics

It explains what already happened in the past

Example: A report shows that sales increased by 10%
~~A company discovers that sales~~
dropped 10% month

7. Diagnostic Analytics

It helps business understand why something happened.

Example: A company discovers that sales dropped because prices increased

8. Predictive Analytics

This is the analytics that uses past data to predict the future results

example: An online store predicts which products customers may buy next.

9. Prescriptive analytics

is an analytics that suggests the best action the business should take.

Example: A delivery company uses software to choose the fastest delivery route.

10. Data Literacy:

Is the ability to read, understand and use data correctly.

Example: A manager understands charts and uses them to make decisions.

02. Data, Measurement and Reporting

11. Structured Data:

Structured data is organized data stored in rows and columns.

Example: Customer information stored in an Excel spreadsheet.

12. Unstructured Data:

This is the data that is not well organized.

Example: Videos, emails, images and social media posts.

13. Data Warehouse

This is the central place where large amounts of business data are stored.

Example: A bank stores customer transaction data in one system for reporting.

14. Data Mining

It simply means finding useful patterns and trends in data.

example: A supermarket finds that customers often buy bread and milk together.

15. Data visualization

is about presenting data using charts, graphs and dashboards.

example: A pie chart showing sales by product category.

16. Dashboard

is a screen that shows important information in real time.

example: A sales dashboard showing daily revenue and customer numbers.

17. Metric

A metric is any number used to measure performance.

example: Number of website visitors per day.

18. Key Performance Indicator (KPI)

is an important metric linked to business goals. every KPI is a metric, but not every metric is a KPI.

example: Customer satisfactory score used to measure service quality

19: Benchmark

Benchmark is a standard used to compare performance

For example: A company compares its sales with industries averages

20: Segmentation

It means dividing customers into groups based on similar characteristics.

example: A company groups customers by age or by buying habits

03: Customer & Sales KPIs:

21: Conversion Rate

is a percentage of people who complete a desired action.

example: 50 out of 1000 website visitors buy a product

22: Customer Acquisition Cost (CAC)

is the amount of money spent to gain one new customer.

example: A business spends RS 000 on advertising and gains 50 customers. The CAC is R100

23. Customer Lifetime value (CLV/LTV)

CLV is the total profit a business expects to earn from one customer over time.

example: A loyal customer spends money every month for three years

24. Churn Rate

Is the percentage of customers who stop using a product or service.

example: customers canceling their gym membership.

25. Customer Retention Rate

It measures how many customers continue using a business over time.

example: A streaming service keeps 90% of subscribers.

26. Net Promoter Score (NPS)

Is a ~~means~~^{score} that measures how likely customers are to recommend a business to others.

example: Customers rate a company from 0 to 10 based on recommendation

27. Average Order Value (AOV)

Is the average amount spent each time a customer places an order.

example: If customers spend R 2000 from 10 order, the AOV is 200

28. Sales Funnel

IS a funnel that shows the journey from attracting customers to making a sale.

example: Customers first see an ad, visit website and then buy product.

29. CLV: CAC Ratio

IS a ratio ^{that} compares the value of a customer to the cost of getting that customer. A healthy business usually earns much more from customers than it spends to attract them.

example: If CLV is R900 and CAC is R300, the ratio is 3:1.

04: Marketing & Campaign Analytics.

29. Marketing Campaign:

IS a planned activity used to promote products or services.

example: A company runs Facebook and radio advertisements for a new product.

30. Post-Campaign Analysis

Is an analysis that measures how successful a campaign was.

example: A business checks if sales increased after an advertisement campaign.

31. Incremental Revenue

Is the extra money earned because of a campaign or business action.

example: A promotion increases sales by R20 000.

32. Return on Investment (ROI)

Is ^{a return} ~~an invest~~ that measures the profit made compared to the money spent.

example: A company spends R10 000 on marketing and earns R15 000 profit.

33. Return on Ad Spend (ROAS)

It measures the revenue earned for every rand spent on advertising.

example: Spending R1000 on ads brings in R5000 sales.

34. Click-Through Rate (CTR)

Is the percentage of people who click on an ad or link.

example: 100 people click an add out of 2000 viewers

35. Bounce Rate

Is the percentage of visitors who leave a website quickly without interacting.

example: Visitors open a website and leave after viewing one page.

36. A/B Testing

Is a testing that compares two versions of something to see which performs better.

example: A company tests two advertisement designs.

37. Lead Generation

Is the process of finding potential customers.

example: A company collects customer email addresses through an online form.

38. Marketing Attribution

Is an attribution that identifies which marketing channel helped make a sale.

example: ~~Marketing~~ A customer buys a product after clicking a Facebook advertisement.

References

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